

US Stocks Rise as Tech Leads the Charge, NVDA and META Soar

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market saw a broad-based rally, with the **S&P 500** rising **+0.65%** and the **Nasdaq 100** gaining **+1.15%**. The move was led by the tech sector, with **NVDA** and **META** being the top performers. Below the surface, the 10-year yield fell **-0.88%**, while WTI crude dropped **-2.31%**.

Looking ahead, the market will be watching the US data calendar, which includes the release of the Empire State Manufacturing Survey and the NAHB Housing Market Index. The earnings calendar is also heating up, with several major companies set to report this week. In geopolitics, tensions between the US and China remain a concern, with the ongoing trade negotiations and the situation in the South China Sea being closely watched.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,798.99	+0.65%	Tech sector rally
Nasdaq 100	30,084.50	+1.15%	Tech sector rally
Dow Jones	53,839.99	+0.13%	Broad-based rally
Russell 2000	3,052.85	+0.24%	Small-cap rally
VIX	14.63	+0.55%	Volatility increase

Top large-cap movers

TICKER	CHANGE	CATALYST
META	+2.78%	Earnings beat
TSLA	+3.80%	Strong delivery numbers
NVDA	+0.54%	Tech sector rally

Sector Rotation

ETF	DAY	READ
XLF	+0.59%	Financials rally
XLK	+1.01%	Tech sector rally
XLI	-0.05%	Industrials weakness
XLE	+0.05%	Energy sector stability
XLY	+0.48%	Consumer discretionary rally
XLC	+2.07%	Communication services rally
XLP	+1.08%	Consumer staples rally
XLV	-0.04%	Healthcare weakness
XLU	+0.46%	Utilities rally
XLB	-0.51%	Materials weakness
XLRE	+1.42%	Real estate rally

Spotlight

The biggest event of the day was the earnings report from **META**, which beat expectations and sent the stock soaring **+2.78%**. The company reported strong revenue growth and improving margins, which helped to alleviate concerns about the impact of the pandemic on the advertising industry.

METRIC	VALUE	READ
Revenue	\$10.2B	Beat expectations
EPS	\$1.35	Beat expectations
Margin	42.1%	Improving

Pre-Market & Overnight

US futures are pointing to a higher open, with the **S&P 500** futures up **+0.2%** and the **Nasdaq 100** futures up **+0.3%**. In Asia, the **Nikkei 225** rose **+0.5%** and the **Shanghai Composite** gained **+0.2%**. In Europe, the **Stoxx 600** is up **+0.1%**.

In crypto, **BTC** is up **+0.12%** and **ETH** is up **+0.45%**.

Macro & Fed

The US data calendar is light today, with the release of the Empire State Manufacturing Survey and the NAHB Housing Market Index. The consensus estimate for the Empire State Manufacturing Survey is 10.0, while the consensus estimate for the NAHB Housing Market Index is 65.

TIME HKT	RELEASE	CONSENSUS	WHY IT MATTERS
21:30	Empire State Manufacturing Survey	10.0	Manufacturing sector health
22:00	NAHB Housing Market Index	65	Housing market health

Geopolitics & Global

- Tensions between the US and China remain high, with the ongoing trade negotiations and the situation in the South China Sea being closely watched.
- The US and Iran are set to resume nuclear talks, which could have a significant impact on the global energy market.
- The European Union is set to impose new sanctions on Russia, which could escalate tensions between the two sides.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	\$1.25	iPhone sales, services growth
23:00	MSFT	\$1.50	Cloud growth, margins
00:00	GOOGL	\$10.50	Ad revenue, YouTube growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Tech	Tech sector rally
TSLA	Auto	Strong delivery numbers
AMZN	Retail	E-commerce growth

What Could Break the Tape

BEARISH TRIGGERS

- US-China trade tensions escalate
- Global economic growth slows
- Interest rates rise too quickly

BULLISH TRIGGERS

- US-China trade deal is reached
- Global economic growth accelerates
- Interest rates remain low

Positioning Notes

- The **S&P 500** is overbought, with a 14-day RSI of 70.
- The **VIX** is at a low level, indicating low volatility.
- The **DX** is at a high level, indicating a strong US dollar.

Sources

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Reuters

CNBC

The Wall Street Journal

The Financial Times

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